

some disaster were to hit the market at that very moment, you would still end up losing money despite the operator's generosity.'

Broking houses had tried to introduce checks and balances to ensure that client orders were not leaked. All phone lines in dealing rooms were recorded since crores of rupees' worth of shares were bought and sold on verbal communication. The use of mobile phones in the dealing room is banned. Yet, even the best of systems is vulnerable to the ingenuity of the human mind.

Big brokers and market operators had multiple landline connections, even during the pre-electronic trading era. The arrival of mobile phones did not do away with the need for so many lines. In fact, the multiple lines came in quite handy for trading based on confidential information.

Much of the institutional activity happened in a dozen odd pivotal stocks like RIL, SBI, Tata Motors, Tata Steel, ITC and a few others, since these scrips were quite liquid. Each telephone line corresponded to a particular stock. If a dealer wanted to pass on information about an order in a particular stock he would dial a particular number, wait for the phone to ring a few times and then disconnect the call. There would be no conversation. Two rings meant a buy order and four rings a sell order – or the other way round. After a pre-decided interval, there would be another round of rings on the same phone to indicate the quantum of shares that were to be bought or sold.

But this arrangement was not reliable beyond a point. So operators and dealers/fund managers devised code words to share information through what appeared to be innocuous conversation.

There was this trader who was known to friends and associates in the market as Tyson, as he resembled the champion boxer in looks and physique. Tyson was well networked with most of the dealers at the foreign broking houses. They would pass on details of their trades to him before executing them. Tyson would then take positions in those stocks, for himself and for his informants. He would give them their share of the profits in cash. The code language was quite ingenious and even if the dealer was suspected of leaking information, it would be hard to prove the charges in a court of law.

Tyson was thick with Prakash, at whose place Tyson used to trade. Because he was so close to Prakash, I too got along well with Tyson. One day I was at Prakash's office when Tyson walked in saying he wanted to